

literally, how we see the world—because of our belief systems.^{[316](#)}

How does this play out in the world of investing? Let me share two examples. I don't pick favorites: Both Democrats and Republicans are implicated.

Back in 2003, the dotcom crash had about run its course. From the peak of the market in March 2000 to the October 2002 trough, the Nasdaq had gotten crushed, losing 83% of its value.

As Federal Reserve chief Alan Greenspan took rates down to 1%, the George W. Bush administration passed \$1 trillion in tax cuts. As someone once said about the stock market, “Give me a trillion dollars, and I'll throw you one hell of a party.”

Yet many of my Democrat friends on Wall Street—fund managers, traders, and analysts—were highly critical of the tax cuts. At the time, I heard all the reasons why they were so bad: They were deficit-busters, unlikely to create jobs, giveaways to the wealthy.

While those critiques may have been true, they were also irrelevant to equities. As armchair policy wonks obsessed over these issues, they missed the bigger picture: Liquidity is a major factor in how the economy and stock markets perform. Trillions of dollars in fresh cash were very likely to goose equities higher. (Sound familiar to the Covid-19 response?) Indeed, the impact of the tax cuts did just that. Combined with Greenspan's ultra-low rates, you had the makings of a cyclical bull market rally. From 2003 to 2007, the S&P 500 nearly doubled.

And my politically active friends on the left missed most of it.

Fast-forward six years to the GFC. Since the October peak in 2007, the S&P 500 had fallen 57%. On March 6, 2009, an op-ed by Michael J. Boskin in *The Wall Street Journal* found the apparent reason: “Obama's Radicalism Is Killing the Dow.”^{[317](#)}

Never mind that the crash had begun years earlier, driven by many factors,